IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
COURT-IV

COMPANY PETITION NO. (CAA)- 43 (ND)/2020
IN
COMPANY APPLICATION NO. CA (CAA)-03 (ND)/2020

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013
AND
IN THE MATTER OF SCHEME OF AMALGAMATION
BY AND BETWEEN

PRIYAVRAT INFRASTRUCTURE PRIVATE LIMITED
..Petitioner No.1/Transferor Company No.1

AND

MEHUL FINVEST PRIVATE LIMITED
... Petitioner No. 2/Transferor Company No. 2

AND

JUBILIANT E&P VENTURES PRIVATE LIMITED
... Petitioner No. 3/ Transferor Company No. 3

AND

DIAMOND ROCK PRIVATE LIMITED
... Petitioner No. 4/ Transferor Company No. 4

AND

PARAMANAND COMMERCIAL PRIVATE LIMITED
... Petitioner No. 5/ Transferee Company

ORDER DELIVERED ON : 31.03.2023

Coram:

SH. PATIBANDLA SATYANARAYANA PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

ORDER

PER: SH. PATIBANDLA SATYANARAYANA PRASAD, MEMBER- JUDICIAL

This instant Petition is preferred jointly by the Petitioner Companies under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Composite Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The Appointed date as fixed for the Proposed Scheme of Arrangement is 01.04.2019. The details of the Companies proposed to be amalgamated, as placed on record are as under:-

a) M/s. Priavrat Infrastructure Private Limited (hereinafter referred to as "Petitioner No.1/Transferor Company-1") was incorporated on the 12.02.2015 under the provisions of the Companies Act, 2013 as a private limited company bearing CIN: U45400UP2015PTC068918 having its registered office situated at Hindustan Times House, 25, Ashok Marg, Lucknow, Uttar Pradesh - 226001.

b) M/s. Mehul Finvest Private Limited (hereinafter referred to as "Petitioner No. 2/Transferor Company-2") was incorporated on the 30.06.1995 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: U65100DL1995PTC070362 having its registered office situated at 9th Floor Hindustan Times House, 18-20 Kasturba Gandhi Marg, New Delhi -11001.

c) M/s. Jubliant E&P Ventures Private Limited, (hereinafter referred to as "Petitioner No. 3/Transferor Company-3") was incorporated on the 16.09.2006 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: U11103UP2006PTC043500 and having its registered office situated at Plot No. 1A, Sector 16A, Noida UP-201301.

d) M/s. Diamond Rock Private Limited, (hereinafter referred to as "Petitioner No. 4/Transferor Company 4) was incorporated on the 15.03.1991 under the provisions of the erstwhile Companies Act, 1956 as a private limited company

bearing CIN: U51109WB1991PTC051138 and having its registered office situated at 31 B.B.D. Bagh, Hongkong Hose Kolkata West Bengal-700001.

e) M/s. Pramanand Commercial Private Limited, (hereinafter referred to as "Petitioner No. 5/Transferee Company") was incorporated on the 16.02.1996 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: U65100DL1996PTC258053 and having its registered office situated at Lower Ground Floor, Hindustan Times House 18-20, Kasturba Gandhi Marg, New Delhi - 110001.

2. The Petitioner Companies submit that the Registered Office of the Petitioner Company No.2 and Petitioner Company No.5 are situated within the jurisdiction of NCLT, New Delhi. The Petitioner Companies further submit that the Petitioner Company No.1, Petitioner Company No.3 and Petitioner Company No.4 had filed an application (CA/2689(PB)/2019) under Rule 16(d) of the National Company Law Tribunal Rules, 2016 for seeking permission to file a joint application for the approval of Scheme of Amalgamation with NCLT, New Delhi and the application was allowed vide order dated 03.12.2019. Therefore, the Petitioner Companies falls within the jurisdiction of the NCLT, New Delhi by virtue of the said order dated 03.12.2019.

3. The Petitioner Companies submit that the rationale for the present Scheme of Amalgamation between the Petitioner Companies are as follow:-

a) It would result in economy of scale including reduction in overhead expenses relating to management and administration thereby enabling optimum utilization of funds and resources.
b) It will provide the benefit of operational synergies to the combined entity, which can be put to the best advantage of the stakeholders.
c) It would result in improved organizational capabilities and leadership, arising from the pooling of human capital that has the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.
d) It will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the

company concerned. The said scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small company for raising capital, securing and conducting trade on favorable terms and other benefits.

e) It will result in greater efficiency in cash management of the transferee Company and access to cash flow generated by the combined business, which can be deployed more efficiently to maximize shareholder value.
f) Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and improvements, improved procurement, and the elimination of duplication, and rationalization of administrative expenses.
g) Reduction in the number of companies leading to redaction in compliance Optimum and efficient utilizations of capital, resources, assets and facilities;

4. The Petitioner Companies submit that the present Scheme of Amalgamation is divided into the following parts:-

   a) PART I deals with the Definitions and Share Capital;
   b) PART II deals with the Amalgamation of M/s. Priyavrat Infrastructure Private Limited, M/s. Mehul Finvest Private Limited, M/s. Jubilant E&P Ventures Private Limited, M/s. Diamond Rock Private Limited, with M/s. Pramanand Commercial Private Limited;
   c) PART III deals with the Amalgamation of M/s. Diligent Services Private Limited with M/s. Pramanand Commercial Private Limited;
   d) PART IV deals with the Alteration of Memorandum and Articles of Association
   e) PART V deals with General Terms and Conditions

5. The Petitioner Companies had filed a Company Application i.e., C.A./195/ND/2021 seeking modification of the proposed scheme of Amalgamation between the Petitioner Companies by deleting PART-III of the proposed scheme, which deals with amalgamation of M/s. Diligent Services Private Limited (Transferor Company No.5) with M/s. Pramanand Commercial Private Limited (Transferee Company/ Petitioner Company No.5). The said company application

i.e., C.A./195/ND/2021 seeking deletion of Part-III of the proposed scheme was allowed vide Tribunal's order dated 24.12.2021.

6. The Petitioner Companies submit that the share exchange ratio as per Clause 11 of the Scheme of Amalgamation is as follow:-

   A) 4.11 equity shares of Rs.10/- each (face value per share), of the Transferee Company to be issued for every 100 equity shares of Rs.10/- each (face value per share) of Transferor Company 1.

   B) 47.24 equity shares of Rs.10/- each (face value per share), of the Transferee Company to be issued for every 100 equity shares of Rs.10/- each (face value per share) of Transferor Company 2.

   C) 1669.88 equity shares of R10/- each (face value per share), of the Transferee Company to be issued for every 100 equity shares of Rs.10/- each (face value per share) of Transferor Company 3.

   D) 18% Non-Cumulative Non-Convertible Preference Share of Rs.10/- each (face value per share), of the Transferee Company to be issued for every 8% Non-Cumulative Non-Convertible Preference Share of Rs.10/- each (face value per share) of Transferor Company 3.

   E) 690.71 equity shares of Rs.10/- each (face value per share), of the Transferee Company to be issued for every 100 equity shares of Rs.10/- each (face value per share) of Transferor Company 4.

7. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the

Companies. This Tribunal, in the First Motion Application bearing No. CA (CAA)/03/(ND)/2020, vide Order dated 25.02.2020 dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of the all Petitioner Companies and also dispensed with the requirement of convening the meeting of the Preference Shareholders of the Petitioner Company No.3 and Petitioner Company No.5.

8. Subsequent to the First Motion Order dated 25.02.2020, the Second Motion Joint Petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also for publication of notice in respect of the said Scheme. The said petition was admitted and directions were issued, vide Order dated 24.07.2020 and 02.02.2021 of this Tribunal, requiring the Petitioner Companies to serve notices to the Central Government through Regional Director MCA, RoC, Income Tax Authorities, Official Liquidator and other sectoral regulators likely to be affected by the said proposed Scheme and also to carry out necessary publication in the newspapers having vide circulation with respect to the said Scheme.

9. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service and Publication dated 01.03.2021 by confirming that the aforesaid Notices of the present Company Petition were published in “Financial Express”, (English, Lucknow Edition) and “Jansatta” (Hindi, Lucknow Edition), “Business Standard”

(English and Hindi, Delhi Edition), "Business Standard" (English, Kolkata Edition), "Aajkal" (Bengali, Kolkata Edition") on 18.02.2021, 19.02.2021, 18.02.2021, 18.02.2021, 18.02.2021 respectively. It is further submitted that the Petitioner Companies had also individually served the Notices of the present Company Petition to all the concerned statutory authorities.

10. It is submitted by the Petitioner Companies that the compliance with respect to accounting treatment has been made as certified by the Statutory Auditor's Certificate certifying that the proposed accounting treatment included in the Scheme among the petitioner companies is in compliance with the applicable Accounting Standards specified under Section 133 of the Companies Act, 2013.

11. The Official Liquidator, Delhi has filed its report dated 02.06.2022 with respect to the Transferor Company No.2 in which it has stated that upon considering the information submitted by the Petitioner Companies, the Official Liquidator is of the view that the affairs of the Transferor Company No.2, do not appear to have been conducted in a manner prejudicial to the interest of its members or to the public interest in terms of the provisions of the Companies Act, 2013.

12. The Official Liquidator, Allahabad has filed its report dated 08.09.2022 with respect to the Transferor Company No.1 and Transferor Company No.3 in which it is stated that the Official Liquidator has no objection to the dissolution of the Transferor Companies without winding up pursuant to provisions of Section 230-232 of the Companies Act, 2013 and other applicable sections and rules there under.

13. The Official Liquidator, Kolkata has filed its report dated 02.06.2022 with respect to the Transferor Company No.4 in which it has stated that on the basis of information submitted by the Petitioner Companies, the official liquidator is of the view that the affairs of the Transferor Company No.4/Petitioner Company No.4 do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956/ the Companies Act, 2013 whichever is applicable.

14. The Income Tax Department has filed report dated 25.07.20220 with respect to Transferor Company No.3 wherein it was observed that there are no pending demands and proceedings in respect of Petitioner Company No.3/ Transferor Company No.3. Further, the Petitioner Company No.5/ Transferee Company vide affidavit dated 24.02.2023 undertakes that in case of any taxes of any nature, duties and cess or any other like payments or deductions of the Transferor Company No.1, Transferor Company No.2, Transferor Company No.3 and Transferor Company No.4 arises, it shall be paid off by the Transferee Company. Further, it is also undertaken that any income tax arising out of disposal of pending income Tax Appeals, if any, in case of Transferor Companies shall be borne by the Transferee Company.

15. The Regional Director, Eastern Region vide his report dated 03.08.2022 has made certain observations with regard to the proposed Scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 18.08.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarifications and undertaking to address

the observations made by the Regional Director. The details of which are summarised below:

Observations	**Observations, of the Regional Director, Eastern Region vide report dated 03.08.2022**	**Reply of the Petitioner Companies vide Affidavit dated 18.08.2022**
2 (e)	Petitioner company should undertake to comply with the provisions of section 232(3)(i) of the Companies Act,2013 through appropriate affirmation.	It is submitted that as per Section 232(3)(i) of the Companies Act, 2013, the Transferee Company/Petitioner Company No.5 agrees to pay the applicable fee, if any (after set off against fee already paid), on its revised authorized share capital subsequent to amalgamation.
2 (f)	The Transferee Company should be directed to pay applicable stamp duty on the transfer of the immovable properties from the Transferor Companies to it.	It is submitted that the Transferee Company shall pay applicable amount of stamp duty, if any, to the relevant authority(ies) on the transfer of the immovable properties from the Transferor Companies to the Transferee Company.
2 (g)	The Hon'ble Tribunal may kindly direct the Petitioners to file an affidavit to the extent that the Scheme enclosed to the Company Application and Company Petition are one and same and there is no discrepancy or no change is made.	It is submitted that the scheme enclosed to the Company Application and Company Petition are one and same. However, the Petitioner Companies filed the joint application to withdraw the Part III of the scheme which deals with the Amalgamation of Diligent Services Private Limited (Transferor Company No.5) with Pramanand Commercial Private Limited (Transferee Company) bearing Company Application No. 195 (ND)/2021 connected with Company Petition No. 43 /(ND)/2020 connected with Company Application No. 03(ND)/2020 and the application was allowed by this Hon'ble Tribunal on 24th December 2022.

16. The Regional Director, Northern Region vide his report dated 05.04.2022 has made certain observations with regard to the proposed Scheme of Amalgamation among the Petitioner Companies. The observations in the para 10 of the RD Report as raised by the RoC are as below:-

    a) The Transferee Company and all the Transferor Companies have filed joint application under section 230-232 of the Companies Act, 2013 before the Hon'ble Company Law Tribunal, New Delhi Bench as companies are registered in the NCT of Delhi, State of Uttar Pradesh and State of West Bengal.
    b) Hon'ble National Company Law Tribunal, New Delhi Bench vide its order dated 24.12.2021 has ordered regarding deletion of Part-III of the proposed scheme of amalgamation of M/s Diligent Services Private Limited (Transferor Company No. 5 of UP) with M/s. Pramanand Commercial Private Limited (Transferee Company of NCT of Delhi)

17. Both the above observations of the Regional Director, Northern Region are explained in the light of order dated 03.12.2019 under Rule 16(d) of the National Company Law Tribunal Rules, 2016 and order dated 24.12.2021 as referred above.

18. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of the petitioner Companies to the proposed Scheme and also in the view of the fact that no sustainable objections have been raised by the Office of the Regional Director, Eastern Region and Northern Region, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the proposed Scheme of Arrangement.

19. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the amended Scheme of Amalgamation (which excludes Part-III of the original Scheme i.e., Amalgamation of M/s. Diligent Services Private Limited with

M/s. Pramanand Commercial Private Limited) proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013.

20. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company No1 - Transferor Company No. 4 and Transferee Company and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

21. Notwithstanding the above, if at any stage any deficiency is found or violation committed qua any enactment, statutory rule or regulation is found to be committed, the sanction granted by this Tribunal to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

22. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law will be made. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

23. This tribunal further directs with respect to Transferor companies (Petitioner Company No. 1-4)and Transferee company, that:

    (i) Upon the sanction becoming effective from the appointed date of amalgamation and arrangement i.e., 01.04.2019, the Transferor

Companies (Transferor Company No.1 - 4) shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company is entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent

liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

24. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this Order, cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

25. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

The Company Petition bearing **(CAA) 43 (ND)/2020 is allowed in the above terms.**

Sd/-	**Sd/-**
(BINOD KUMAR SINHA)	**(P.S.N. PRASAD)**
MEMBER (T)	**MEMBER (J)**